

Blackstone's \$3.5B Data Center Sale Shows the Exit, Not the Thesis

The deal reveals how institutional capital cycles through AI infrastructure: build, lease, sell, recycle.

The most important number in Blackstone's \$3.5 billion sale of three Northern Virginia data centers to Digital Realty is not the price. It is the consideration mix: \$1.2 billion in cash and \$2.3 billion in Digital Realty stock. Blackstone is not exiting data centers. It is rotating capital from a joint venture that has reached its value-add ceiling into the next wave of development. Digital Realty is not overpaying for growth.

It is buying fully leased, hyperscale assets with a currency that costs it nothing to issue. The transaction is a capital stack handoff between two institutions that understand their respective roles in the AI infrastructure lifecycle. The deal closes two and a half years after Blackstone and Digital Realty formed a \$7 billion hyperscale joint venture in December 2023. Blackstone contributed development capital and construction risk tolerance.

Digital Realty brought operating expertise, tenant relationships, and a public market platform. The venture built three 96-megawatt facilities in Manassas and Sterling, Virginia, the world's densest data center market. Now those assets are stabilized, fully leased, and ready for permanent ownership.

Blackstone's 80 percent interest in two of the facilities and 50 percent stake in the third are being sold at a basis that reflects the venture's original underwriting plus the value created through leasing and construction completion. The cash component gives Blackstone immediate liquidity to redeploy into its \$160 billion data center pipeline.

The stock component gives it a publicly traded currency with exposure to the same sector, but without the operational overhead of managing individual assets. Digital Realty, meanwhile, is increasing its ownership in assets it already knows, operates, and leases. By paying with shares, it avoids tapping its balance sheet or issuing new debt at a time when public REIT cost of capital remains expensive relative to private equity.

The transaction is accretive to Digital Realty's net asset value if the implied cap rate on the assets exceeds the cost of its equity. Given that Digital Realty's stock has traded at a discount to its private market net asset value for much of the past two years, the deal effectively lets it buy back its own shares at a discount by acquiring assets it already values highly.

This is not a distress sale. It is not a strategic retreat. It is a capital recycling event that reveals how the AI infrastructure market is maturing. The development phase, where Blackstone excels, requires patient equity willing to accept construction risk, entitlement timelines, and pre-leasing uncertainty. The stabilized phase, where Digital Realty operates, rewards scale, tenant diversification, and public market access.

The joint venture structure allowed each partner to do what it does best. The exit allows each to do it again. Blackstone's first-quarter earnings call in April highlighted its position as the world's largest investor in AI-related infrastructure, with a data center portfolio valued at \$150 billion and a development pipeline of \$160 million. That pipeline needs capital.

This sale frees up equity for the next generation of projects, likely in markets where power availability and fiber connectivity are still scarce. The company's May IPO of Blackstone Digital Infrastructure provides another vehicle for permanent capital, but recycling from joint ventures remains the faster path to scale. Digital Realty benefits by consolidating ownership of assets that are already generating cash flow.

The company's chief investment officer, Greg Wright, framed the deal as the next phase of a relationship that includes joint ventures in Northern Virginia, Paris, and Frankfurt. That suggests more transactions of this type are likely, as Digital Realty uses its public currency to buy out partners in stabilized assets while keeping them as development partners for new projects. Who should care?

Every institutional investor with exposure to data center funds, every developer trying to underwrite the next wave of AI infrastructure, and every REIT investor watching how public companies deploy their equity. The deal confirms that the data center market has bifurcated into two distinct capital pools: development equity, which demands high returns and quick exits, and permanent capital, which accepts lower yields for scale and stability.

The bridge between them is the joint venture structure, and the toll is paid in stock. The market should watch for more transactions where public REITs use their shares to acquire stabilized assets from private developers. If Digital Realty's stock continues to trade at a discount to net asset value, the math favors more of these deals. If the discount narrows, the incentive shifts back to cash.

Either way, the capital cycle is turning, and the next phase will be defined not by who builds the most megawatts, but by who holds them longest.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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